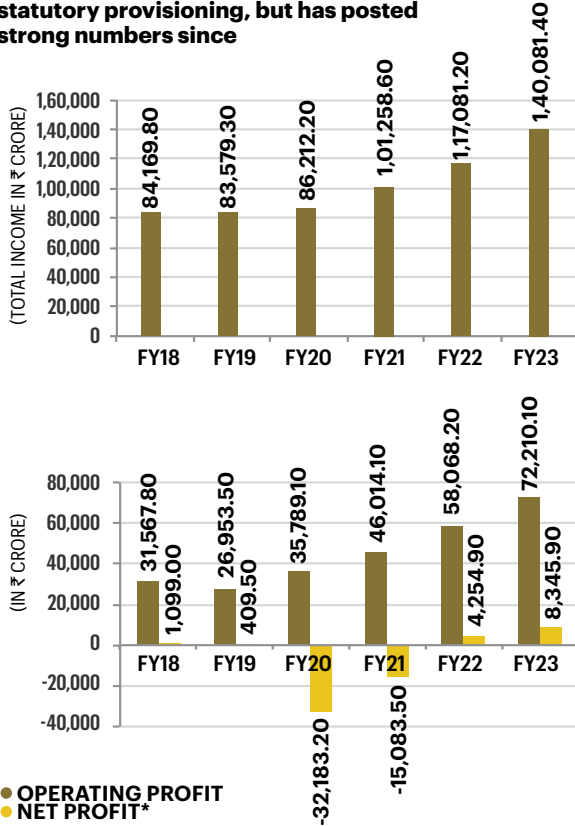


BACK TO PROFITS

► Airtel has seen its total income consistently rise since FY20

► It incurred net losses mainly due to statutory provisioning, but has posted strong numbers since



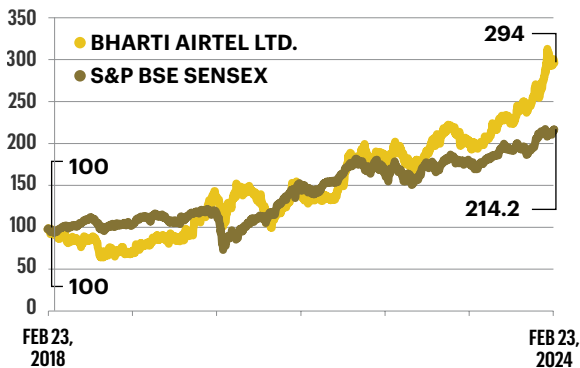
● OPERATING PROFIT
● NET PROFIT*

*ATTRIBUTABLE TO OWNERS OF THE PARENT
SOURCE ACE EQUITY

GOOD RETURNS

► The Airtel stock has outperformed the BSE Sensex in recent years

► The company has delivered good returns on the back of a pan-India state-of-the-art network



DATA HAS BEEN INDEXED TO 100 SOURCE ACE EQUITY

make people comfortable, and that is a good skill.”

Calling Mittal a “fabulous entrepreneur,” Deepak Parekh, Chairman of HDFC Life Insurance and HDFC AMC, says he also has the human touch. Having sat on the Singtel board for six years, Parekh saw Mittal from close quarters. “No one ever doubted his intentions, capability, or leadership skills. He dared to expand his Africa operations despite stiff competition and stuck it out.”

THINKING DIFFERENTLY

Mittal, 66, can think ahead and has kept the business on a sound technological footing, often ditching conventional models. A case in point is when Airtel entered a strategic partnership with IBM for managed services. Romal Shetty, CEO of Deloitte South Asia and someone who has known Mittal for a long time, says telecom operators manage all aspects of their networks. “IBM’s expertise in managing IT infrastructure brought efficiency and cost-effectiveness to Airtel’s operations.” Airtel also got Ericsson to manage its network infrastructure.

Mittal recalls it was tough for a mobile operator to attract the best engineers, who would make a beeline for a Nokia, Ericsson, Siemens, or Motorola. Mittal took time to understand large telecom organisations globally, and though he did not have the scale, it was possible to do it indirectly. “In the deal with IBM, we gave them a share of the revenue. Their incentive was for us to succeed; over time, revenues went through the roof, and they made much more money than a regular contract would have made,” he recalls. Airtel could now focus on its core competencies. “Be it customer service, network expansion, or innovation, it allowed them to streamline operations and allocate resources more efficiently,” says Shetty.

Investors, too, have been a happy lot. Warburg Pincus made a return of 5.5x. According to Vishal Mahadevia, the company’s MD & Head of Asia Private Equity, Mittal had the foresight to make early technology adoption calls and build a cutting-edge network nationwide. “The Bharti Group, under Sunil’s leadership, has distinguished itself by always being consumer first and creating innovative offerings. Most importantly, he has treated his partners (including us) well, with a singular focus on corporate governance and business building.”

MAKING THE BRAND

Today, Airtel has strong equity and recall, but that has not been easy. The brand name was thought of in barely a fortnight. The logic was simple—air is telecom, and it sounded good. “We went ahead with it; today, it’s one of the most renowned brands,” Mittal says.

Then, there was the not-so-small issue of building a network across India. How did Airtel become a pan-India operation from its base of a one-circle operation in